

Three-Year Strategy Review

Management strategy and capital allocation

Three-Year Strategy Review

The strategy prioritizes three themes: protect iconic category economics, modernize the client experience, and expand specialized capacity. Management expects the investment program to create resilience, but not every project is tracking to its original return case.

Theme	Key Projects	Strategic Rationale
Category economics	LG-55, JV-31	Protect high-value craft categories
Client experience	OM-27, DG-88	Increase digital and clienteling reach
Capacity / footprint	AT-41, WH-14, BX-19	Support future demand and service levels

Risk discussion

- Tourism-sensitive demand is uneven across regions.
- Selected investments have longer payback periods than the original approval case.
- Working-capital days have increased with expansion and higher stock commitments.
- Supplier dependency is elevated for specialized craft equipment.
- The board requires evidence, not narrative, before approving additional capital.